

Day 7 Internship Notes

Date: 08-06-2026

Work Start time

9:00am

Today's Objective

- Liquidity
- DeepVue Bubble Chart
- Finding Breakouts
- Identifying Market Leaders

Topics learned Today:

Topic 1: Liquidity:

Liquidity refers to how easily a stock can be bought or sold without causing a significant change in its market price.

Highly liquid stocks generally have:

- High trading volume.
- Large numbers of active buyers and sellers.
- Tight bid-ask spreads.
- Faster order execution.
- Reduced slippage.

Low-liquidity stocks often have fewer market participants, wider spreads, and larger price fluctuations. Because of this, traders may experience difficulty entering or exiting positions at their desired prices.

I learned that liquidity is one of the most important factors professional traders consider before entering a trade. High liquidity improves trading efficiency because orders are executed quickly and accurately.

Liquidity is especially important for institutional investors because they often trade large quantities of shares. Highly liquid stocks allow institutions to execute large orders without significantly impacting market prices.

From a retail trading perspective, liquidity helps reduce transaction costs, improves order execution, and makes risk management easier.

Understanding liquidity helps traders evaluate whether a stock is suitable for active trading and whether market conditions support efficient execution.

Topic 2: DeepVue Bubble Chart – Finding Breakouts & Market Leaders Fast:

The DeepVue Bubble Chart, a real-time market visualization tool designed to help traders identify breakout stocks, market leaders, and sector strength more efficiently.

Unlike traditional stock screeners that display information in rows and columns, the Bubble Chart presents data visually through interactive bubbles. This allows traders to quickly identify unusual market activity and focus on the strongest opportunities.

The Bubble Chart uses three separate data points:

X-Axis

Controls horizontal movement of bubbles.

Common metrics include:

- Price Percentage Change
- Relative Strength
- Momentum Indicators

Y-Axis

Controls vertical movement.

Common metrics include:

- Relative Volume
- Relative Strength
- Performance Metrics

Bubble Size

Represents a third variable.

Many traders use Relative Volume because larger bubbles highlight stocks receiving increased market attention.

I learned that this visualization allows traders to quickly analyze hundreds of stocks simultaneously without manually reviewing each chart.

Finding Breakouts Using the Bubble Chart

One of the most useful Bubble Chart configurations is:

- X-Axis: Price Percentage Change from Open
- Y-Axis: Relative Volume
- Bubble Size: Relative Volume (20-Day Basis)

Using this setup:

- Strong stocks move toward the right side of the chart.
- High-volume stocks move higher on the chart.
- Larger bubbles represent stronger participation.

Stocks appearing in the top-right corner often represent the strongest stocks currently in play and may present potential breakout opportunities.

This helps traders identify opportunities much faster than traditional scanning methods

Identifying Market Leaders

The Bubble Chart can also help identify future market leaders.

Two important metrics used for this purpose are:

Relative Strength (RS)

Relative Strength measures how strongly a stock performs compared to the overall market or other stocks.

Stocks with high Relative Strength often demonstrate leadership characteristics.

Relative Measured Volatility (RMV)

Relative Measured Volatility helps identify stocks that are trading tightly before making significant moves.

When a stock shows:

- High Relative Strength.
- Tight Volatility.
- Increasing Volume.

It may indicate the early stages of a leadership stock.

This combination is frequently used by traders to discover strong stocks before major price expansions occur.

Sector Rotation Analysis

Another valuable feature of the Bubble Chart is its ability to identify sector strength.

For example, if multiple semiconductor stocks appear together in the top-right portion of the chart, it may indicate strong institutional money flow into the semiconductor sector.

This helps traders identify broader market themes and focus on industries showing relative strength.

Practical Learning

Today I learned that successful stock selection is not only about finding stocks that are moving higher, but also about identifying where market attention and institutional participation are concentrated.

The DeepVue Bubble Chart provides a visual way to analyze hundreds of stocks simultaneously by combining price movement, relative volume, and relative strength into a single view. This allows traders to quickly identify breakout candidates, strong sectors, and potential market leaders without manually scanning numerous charts.

I observed how stocks with strong price performance and high relative volume naturally moved toward the top-right area of the chart, making them easier to identify. I also learned that larger bubbles often represent stocks attracting increased market participation and institutional interest.

The Bubble Chart helps traders focus on stocks that are actively in play, recognize sector rotation, and discover leadership stocks at an early stage. By combining volume analysis, relative strength, and price action, traders can make more efficient and objective decisions while reducing the time required for market analysis.



DeepVue Practice – Bubble chart Practice

During today's practical session, I explored the Bubble Chart feature available in DeepVue and learned how traders use it to quickly identify breakout stocks and potential market leaders. I observed how the Bubble Chart visualizes multiple data points simultaneously by plotting stocks based on Relative Measured Volatility (RMV), Relative Volume, and bubble size. This allowed me to compare numerous stocks within a single view and immediately identify those attracting unusual market attention.

During the analysis, I observed stocks such as GLXY and AGX positioned in the upper-right area of the chart, indicating strong relative volume and volatility characteristics compared to other stocks in the selected universe. I also learned how larger bubbles often represent stocks experiencing increased trading activity, making it easier to identify potential breakout candidates.

The Bubble Chart helped me understand how traders can quickly spot stocks showing strong momentum, institutional participation, and leadership characteristics without manually reviewing hundreds of charts. I also explored the linked charting functionality, where selecting a bubble instantly updates the stock chart, allowing for deeper analysis of price action, moving averages, volume behavior, and trend strength.

Questions I Had and Answers I got :

Q1. Why is liquidity important in stock trading?

Liquidity is important because it determines how easily a stock can be bought or sold without significantly affecting its market price. Highly liquid stocks have more buyers and sellers, allowing for faster order execution, tighter bid-ask spreads, and lower slippage. Traders generally prefer liquid stocks because they reduce trading costs and make entering or exiting positions more efficient.

Q2. How does the DeepVue Bubble Chart help traders identify breakout stocks?

The DeepVue Bubble Chart visually displays stocks based on metrics such as price performance, relative volume, and relative strength. Stocks showing strong price movement and unusually high volume often move toward the top-right area of the chart. This allows traders to quickly identify breakout candidates and stocks receiving significant market attention without manually scanning hundreds of charts.

Q3. How can traders identify potential market leaders using the Bubble Chart?

Traders often use Relative Strength (RS) and Relative Measured Volatility (RMV) within the Bubble Chart to identify potential market leaders. Stocks that show strong relative strength, tight volatility, and increasing volume may indicate institutional accumulation and leadership characteristics. These stocks often outperform the broader market and can become future market leaders if the trend continues.

Key Takeaway

The combination of Bid, Ask, Spread, Liquidity, and the DeepVue Market Navigator helps traders better understand market behavior, improve trade execution, and make more disciplined trading decisions.

Conclusion

Today's session provided a deeper understanding of how trades are executed and how professional traders evaluate market quality before entering positions. I learned that liquidity and spread directly impact trade execution, while the DeepVue Market Navigator offers a systematic approach to identifying potential buy and sell opportunities. These concepts reinforced the importance of combining market mechanics, volume analysis, and technical indicators to make better trading decisions and manage risk effectively.